

amount taken out is reflected on your pay stub, which is a record of earnings and withholdings that you receive, either on paper or electronically, each time you are paid. Figure 7.2 is a sample pay stub for an employee named Shaya who has a taxable income of \$90,000 per year.

EMPLOYEE NAME/ADDRESS			REPORTING PERIOD		PAY DATE	
SHAYA PLACKER/456 ISABEL ST			9/08/2020 - 09/22/2020		09/22/2020	
INCOME	RATE	CURRENT PAY	DEDUCTIONS		TOTAL	YTD TOTAL
GROSS EARNINGS	SALARY	\$3,846.15	STATUTORY DEDUCTIONS			
			FICA - MEDICARE		\$55.77	\$1,059.63
			FICA - SOCIAL SECURITY		\$238.46	\$4,530.74
			FEDERAL TAX		\$742.64	\$14,110.14
			STATE TAX		\$357.69	\$6,796.00
YTD GROSS	YTD DEDUCTIONS	YTD NET PAY	TOTAL	DEDUCTIONS	NET PAY	
\$73,076.92	\$26,496.66	\$46,580.26	\$3,846.15	\$1,394.56	\$2,451.59	

Figure 7.2. Sample pay stub

On the left, you can see Shaya’s gross earnings of \$3,846.15, which is the amount of money that went into her paycheck before taxes were taken out. On the right, you can see a list of her deductions, or **withholdings**, which are the taxes that were taken from her paycheck. For now, we will continue focusing on federal taxes. As you can see, Shaya paid \$742.64 in federal taxes during this pay period, which means that of the \$3,846.15 she earned, \$742.64 is going straight to the IRS. To the right of that amount, you can see the year-to-date (YTD) total, which is the total amount of money she has paid for calendar year 2019. So as of September 22, 2020 (the date of the paycheck), Shaya has paid \$14,110.14 in federal taxes.